SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(SAUDI JOINT STOCK COMPANY)

INTERIM CONSOLIDATED FINANCIAL STATEMENTS AND AUDITORS' REVIEW REPORT FOR THE THREE MONTH PERIOD AND YEAR ENDED DECEMBER 31, 2007

SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(SAUDI JOINT STOCK COMPANY)

INTERIM CONSOLIDATED FINANCIAL STATEMENTS AND
AUDITORS' REVIEW REPORT
FOR THE THREE MONTH PERIOD AND YEAR ENDED DECEMBER 31, 2007

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AUDITORS' REVIEW REPORT ON INTERIM CONSOLIDATED FINANCIAL STATEMENTS

To the shareholders
Saudi Basic Industries Corporation (SABIC)
(Saudi Joint Stock Company)
Riyadh, Saudi Arabia

We have reviewed the accompanying interim consolidated balance sheet of Saudi Basic Industries Corporation (SABIC) a Saudi joint stock company and its subsidiaries ("the Company") as of December 31, 2007, and the related interim consolidated statements of income for the three month period and year ended December 31, 2007, and interim consolidated statements of changes in shareholders' equity and cash flows for the year then ended. These interim consolidated financial statements are the responsibility of Company's management and were prepared and presented to us with all the necessary information and explanations which we requested.

We conducted our review in accordance with the standard of the interim financial statements issued by the Saudi Organization for Certified Public Accountants. A review consists principally of applying analytical review procedures to financial data and information and making inquiries of persons responsible for financial accounting matters. The scope of the review is substantially less in scope than an audit in accordance with generally accepted auditing standards, the objective of which is the expression of an opinion on the financial statements taken as a whole. Accordingly, we do not express such an opinion.

Based on our review, we are not aware of any material modifications that should be made to the accompanying interim consolidated financial statements for them to be in conformity with generally accepted accounting standards.

Deloitte & Touche
Bakr Abulkhair & Co.

Bakr A. Abulkhair
License No. 101

Muharram 12, 1429
January 21, 2008

SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(SAUDI JOINT STOCK COMPANY)

INTERIM CONSOLIDATED BALANCE SHEET
AS OF DECEMBER 31, 2007

	Note	(Unaudited) 2007 SR 000	(Audited) 2006 SR 000
ASSETS			
Current assets			
Cash and cash equivalents		**46,135,708**	41,227,735
Accounts receivable		**25,703,012**	16,475,589
Inventories		**22,331,857**	13,658,245
Prepaid expenses and other receivables		**4,887,323**	2,612,872
Total current assets		**99,057,900**	73,974,441
Non-current assets			
Investments	2	**5,912,871**	3,531,839
Property, plant and equipment		**121,813,867**	79,970,622
Intangible assets		**23,752,906**	5,094,003
Other non-current assets		**5,485,066**	4,017,915
Total non-current assets		**156,964,710**	92,614,379
TOTAL ASSETS		**256,022,610**	166,588,820
LIABILITIES AND EQUITY			
Current liabilities			
Short term bank facilities		**1,399,187**	607,622
Current portion of long term debt		**3,300,499**	5,521,174
Accounts payable		**15,136,897**	11,065,422
Accrued liabilities and provisions		**11,536,389**	7,865,086
Dividends payable	8	**617,737**	664,782
Total current liabilities		**31,990,709**	25,724,086
Non-current liabilities			
Long term debt	9	**75,497,525**	33,611,628
Other non-current liabilities		**14,690,013**	6,762,869
Total non-current liabilities		**90,187,538**	40,374,497
Total liabilities		**122,178,247**	66,098,583
EQUITY			
Shareholders' equity			
Share capital	4	**25,000,000**	25,000,000
Statutory reserve		**11,445,362**	11,445,362
Research and technology reserve		**1,291,691**	1,291,691
General reserve		**28,894,706**	20,631,558
Retained earnings		**24,527,487**	14,514,548
Total shareholders' equity		**91,159,246**	72,883,159
Minority interests		**42,685,117**	27,607,078
Total equity		**133,844,363**	100,490,237
TOTAL LIABILITIES AND EQUITY		**256,022,610**	166,588,820

The accompanying notes form an integral part of these interim consolidated financial statements.

SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(JOINT STOCK COMPANY)

INTERIM CONSOLIDATED STATEMENT OF INCOME
FOR THE THREE MONTH PERIOD AND YEAR ENDED DECEMBER 31, 2007

	Note	**(Unaudited)** For the three month ended **December 31, 2007 SR 000**	(Unaudited) For the three month ended December 31, 2006 SR 000	**(Unaudited)** For the year ended **December 31, 2007 SR 000**	(Audited) For the year ended December 31, 2006 SR 000
Sales		**40,222,725**	22,732,088	**126,747,018**	86,327,862
Cost of sales		**(26,868,320)**	(12,585,451)	**(79,315,888)**	(51,099,840)
GROSS PROFIT		**13,354,405**	10,146,637	**47,431,130**	35,228,022
Selling, general and administrative expenses		**(2,245,834)**	(905,783)	**(6,681,769)**	(4,341,902)
INCOME FROM OPERATIONS		**11,108,571**	9,240,854	**40,749,361**	30,886,120
Investment and other income		**1,044,265**	962,081	**4,244,770**	2,552,369
Financial charges		**(979,673)**	(285,038)	**(2,649,533)**	(1,567,042)
INCOME BEFORE MINORITY INTERESTS AND ZAKAT		**11,173,163**	9,917,897	**42,344,598**	31,871,447
Minority interests		**(4,007,060)**	(3,248,443)	**(13,517,111)**	(10,527,505)
INCOME BEFORE ZAKAT		**7,166,103**	6,669,454	**28,827,487**	21,343,942
Zakat	5	**(300,000)**	(550,000)	**(1,800,000)**	(1,050,000)
NET INCOME FOR THE PERIOD		**6,866,103**	6,119,454	**27,027,487**	20,293,942
Earnings per share (SR)	11	**2.75**	2.45	**10.81**	8.12

The accompanying notes form an integral part of these interim consolidated financial statements.

SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(SAUDI JOINT STOCK COMPANY)

INTERIM CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2007

	(Unaudited) 2007 SR 000	(Audited) 2006 SR 000
OPERATING ACTIVITIES		
Income before zakat	**28,827,487**	21,343,942
Adjustments for:		
Depreciation and amortization	**7,306,070**	6,119,236
Equity in earnings of associated companies	**(739,039)**	(196,974)
Minority interest in net income of subsidiaries	**13,517,111**	10,527,505
Changes in operating assets and liabilities:		
Accounts receivable and prepaid expenses	**(11,501,874)**	(1,622,631)
Inventories	**(8,673,612)**	(3,015,799)
Payables, accrued liabilities and provisions	**7,935,471**	4,065,404
Other non-current liabilities	**7,927,144**	(1,778)
Zakat paid	**(1,994,092)**	(813,028)
Net cash from operating activities	**42,604,666**	36,405,877
INVESTING ACTIVITIES		
Additions to property, plant and equipment, net	**(47,792,044)**	(18,752,640)
Investments, net	**(1,641,993)**	2,563,233
Intangible assets	**(19,500,196)**	(644,554)
Other non-current assets, net	**(1,983,128)**	(1,033,045)
Net cash used in investing activities	**(70,917,361)**	(17,867,006)
FINANCING ACTIVITIES		
Long-term debt, net	**39,665,222**	255,927
Short-term bank facilities, net	**791,565**	9,763,358
Dividends paid	**(8,797,045)**	(9,701,643)
Minority interest, net	**1,560,926**	(5,801,347)
Net cash from (used in) financing activities	**33,220,668**	(5,483,705)
NET CHANGE IN CASH AND CASH EQUIVALENTS	**4,907,973**	13,055,166
Cash and cash equivalents, January 1	**41,227,735**	28,172,569
CASH AND CASH EQUIVALENTS, DECEMBER 31	**46,135,708**	41,227,735

The accompanying notes form an integral part of these interim consolidated financial statements.

SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(SAUDI JOINT STOCK COMPANY)

INTERIM CONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY FOR THE YEAR ENDED DECEMBER 31, 2007

	Note	Share capital SR 000	Statutory reserve SR 000	Research and technology reserve SR 000	General reserve SR 000	Retained earnings SR 000	Total SR 000
December 31, 2007 (Unaudited)							
Balance as of January 1, 2007	4	**25,000,000**	**11,445,362**	**1,291,691**	**20,631,558**	**14,514,548**	**72,883,159**
Annual dividends	8	-	-	-	-	**(6,250,000)**	**(6,250,000)**
Board of directors remuneration	8	-	-	-	-	**(1,400)**	**(1,400)**
Transfer to general reserve	8	-	-	-	**8,263,148**	**(8,263,148)**	-
Net income for the period		-	-	-	-	**27,027,487**	**27,027,487**
Interim dividends	8	-	-	-	-	**(2,500,000)**	**(2,500,000)**
Balance as of December 31, 2007		**25,000,000**	**11,445,362**	**1,291,691**	**28,894,706**	**24,527,487**	**91,159,246**
December 31, 2006 (Audited)							
Balance as of January 1, 2006	4	20,000,000	9,415,968	1,291,691	17,589,241	14,043,717	62,340,617
Increase in share capital	4	5,000,000	-	-	-	(5,000,000)	-
Annual dividends		-	-	-	-	(6,000,000)	(6,000,000)
Board of directors remuneration		-	-	-	-	(1,400)	(1,400)
Transfer to general reserve		-	-	-	3,042,317	(3,042,317)	-
Net income for the period		-	-	-	-	20,293,942	20,293,942
Transfer to statutory reserve		-	2,029,394	-	-	(2,029,394)	-
Interim dividends	8	-	-	-	-	(3,750,000)	(3,750,000)
Balance as of December 31, 2006		25,000,000	11,445,362	1,291,691	20,631,558	14,514,548	72,883,159

The accompanying notes form an integral part of these interim consolidated financial statements.

1. ORGANIZATION AND ACTIVITIES

Saudi Basic Industries Corporation (SABIC) is a Saudi joint stock company established pursuant to Royal Decree Number M/66 dated 13 Ramadan 1396 (September 6, 1976) and registered in Riyadh under commercial registration No. 1010010813 dated 14 Muharram 1397 (January 4, 1977). SABIC is 70% owned by the Government of the Kingdom of Saudi Arabia and 30% by the private sector.

SABIC and its subsidiaries (the "Company") are globally engaged in petrochemical, fertilizer, metal and basic hydrocarbon industries, the establishment of projects to supply the Company with its raw material requirements and the marketing and distribution of industrial products in world markets.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accompanying interim consolidated financial statements have been prepared in accordance with the Standard of Interim Financial Reporting issued by the Saudi Organization for Certified Public Accountants (SOCPA). The significant accounting policies adopted by the Company in preparing its interim consolidated financial statements, summarized below, are in conformity with those described in the annual audited consolidated financial statements for the year ended December 31, 2006. The interim consolidated financial statements and the accompanying notes should be read with the annual audited consolidated financial statements and the related notes for the year ended December 31, 2006.

Use of estimates

The preparation of the interim consolidated financial statements by management requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities. The actual results ultimately may differ from these estimates.

Basis of consolidation

The interim consolidated financial statements include the individual financial statements of SABIC and its subsidiaries, as adjusted by the elimination of intercompany balances and transactions. An investee company is classified as a consolidated subsidiary based on the degree of effective control exercised by SABIC compared to other shareholders, from the date on which control is transferred to SABIC.

The subsidiary companies consolidated in these financial statements are as follows:

	Shareholding %	
	2007	2006
SABIC Industrial Investments Company and its subsidiaries (SIIC)	**100.00**	100.00
SABIC Luxembourg S.a.r.l. and its subsidiaries	**100.00**	100.00
SABIC Asia Pacific Pte. Ltd. and its subsidiaries	**100.00**	100.00
Arabian Petrochemical Company and its subsidiary (Petrokemya)	**100.00**	100.00
Saudi Iron and Steel Company (Hadeed)	**100.00**	100.00
SABIC Antilles N.V.	**100.00**	100.00
SABIC Sukuk Company (SUKUK)	**100.00**	100.00
SABIC Capital Limited (SCL)	**100.00**	-
Saudi European Petrochemical Company (Ibn Zahr)	**80.00**	80.00
Jubail United Petrochemical Company (United)	**75.00**	75.00
National Chemical Fertilizer Company (Ibn Al-Baytar)	**71.50**	71.50
National Industrial Gases Company (Gas)	**70.00**	70.00
Yanbu National Petrochemical Company (Yansab)	**55.95**	55.95
Arabian Industrial Fiber Company (Ibn Rushd)	**47.26**	53.90
Saudi Methanol Company (Ar-Razi)	**50.00**	50.00
Al-Jubail Fertilizer Company (Al-Bayroni)	**50.00**	50.00
Saudi Yanbu Petrochemical Company (Yanpet)	**50.00**	50.00
National Methanol Company (Ibn Sina)	**50.00**	50.00
Saudi Petrochemical Company (Sadaf)	**50.00**	50.00
Eastern Petrochemical Company (Sharq)	**50.00**	50.00
Al-Jubail Petrochemical Company (Kemya)	**50.00**	50.00
Saudi Arabian Fertilizer Company (Safco)	**42.99**	42.99
Saudi Kayan Petrochemical Company (Saudi Kayan)	**35.00**	-

All subsidiaries are incorporated in the Kingdom of Saudi Arabia except for Sabic Luxembourg S.a.r.l., SABIC Antilles N.V., SABIC Asia Pacific Pte. Ltd. and SABIC Capital Limited (SCL), which are incorporated in Luxembourg, Netherlands and Republic of Singapore and Guernsey, respectively.

The Company owns 55.95% of the share capital of Yansab. Included in this holding is 4% (22.5 million shares), which was sold to eligible employees at par value under a stock grant scheme.

In an Extraordinary General Assembly meeting of Ibn Rushd, held on Shawal 19, 1428 corresponding to October 31, 2007, the shareholders approved a strategic plan to support the future operations of the Company.

In another Extraordinary General Assembly meeting of Ibn Rushd, held on Zul Qaida 21, 1428 corresponding to December 1, 2007, the shareholders approved the admission of Public Investment Fund (PIF) as a new shareholder in the Ibn Rushd effective from November 1, 2007 and approved to increase the share capital of Ibn Rushd by SR 8,510 million by converting the debt of PIF, SABIC and liabilities relating to purchase of Acetic Acid Plant into capital. Shareholders further resolved that nominal value per share of SR 5 will be changed to SR 10 per share.

SABIC's ownership percentage in Ibn Rushd has now changed from 53.90% to 47.26%. SABIC continues to maintain effective control and therefore will continue to consolidate Ibn Rushd's financial statements.

Interim results
The results of operations for the interim periods may not be a fair indication of the results of the full year operations.

Accounting convention
The interim consolidated financial statements are prepared under the historical cost convention except for the measurement of available for sale securities at fair value, wherever available, and for accounting for investments in associated companies on the equity basis.

Investments in associated companies and other
Investments of 20% or more in the capital of investees, other than subsidiary companies, and over which there is significant influence, are reflected in the consolidated financial statements based on the equity method. The Company's share in the results of these investee companies is classified as investment income in the interim consolidated statement of income.

Investments in financial assets are reflected at market value and are classified as securities available for sale. If there is no readily available market such investment are stated at cost less any decline in value which is other than temporary, if any. Investment income is recognized as dividends are declared.

Investments that are acquired with the intention of being held to maturity are carried at cost (adjusted for any premium or discount), less any decline in value which is other than temporary. Such investments are classified as non current assets with the exception of bonds which mature in the next fiscal period, which are classified as current assets.

Inventories
Inventories are stated at the lower of cost or market value. Cost of raw materials, consumables, spare parts and finished goods is principally determined on a weighted average cost basis. Inventories of work in progress and finished goods include cost of materials, labor and an appropriate proportion of direct overheads.

Pre-operating expenses
Expenses incurred during the development and plant start up periods, and which are expected to provide benefits in future periods, are deferred or capitalised. The deferred pre-operating expenses are amortised starting from the commencement of the commercial operations using a straight line method over the shorter of the estimated period of benefit or seven years.

Goodwill
The excess of consideration paid over the fair value of net assets acquired is recorded as goodwill and at the end of each reporting period is measured and reported in the interim consolidated financial statements at carrying value after being adjusted for impairment, if any.

Impairment of assets
At each balance sheet date, the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash generating unit to which the asset belongs.

If the recoverable amount of an asset or cash generating unit is estimated to be less than its carrying amount, the carrying amount of the asset or cash generating unit is reduced to its recoverable amount. Impairment losses are expensed in the interim consolidated statement of income.

Where an impairment loss subsequently reverses, the carrying amount of the asset or the cash generating unit is increased to the revised estimate of its recoverable amount, so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset or cash generating unit in prior years. A reversal of an impairment loss is recognised as income immediately in the interim consolidated statement of income.

Property, plant and equipment
Property, plant and equipment are stated at cost net of accumulated depreciation except for freehold land and construction work in progress which are stated at cost. Expenditure on maintenance and repairs is expensed, while expenditure for betterments is capitalized. Depreciation is provided over the estimated useful lives of the applicable assets using the straight- line method. Leasehold improvements are amortized over the shorter of the estimated useful life or the remaining term of the lease. The estimated years of depreciation of the principal classes of assets are as follows:

	Years
Plant and equipment	20
Buildings	33
Furniture and office equipment	4-20
Vehicles	4

Revenue recognition
Sales represent the invoiced value of goods shipped and services rendered by the Company during the period, net of trade and quantity discounts. Generally sales are reported net of marketing and distribution expenses incurred in accordance with executed marketing and off take agreements.

Investment income from associated companies is recognized based on the equity method. Earnings on bank deposits are recognized on an accrual basis.

Zakat and income tax
Zakat is provided in accordance with the Regulations of the Directorate of Zakat and Income Tax (DZIT) in the Kingdom of Saudi Arabia and on an accrual basis. The provision is charged to the interim consolidated statement of income. Any differences resulting from the final assessments are adjusted in the year of their finalization. Foreign shareholders in subsidiaries are subject to income tax which is included in minority interest in the interim consolidated financial statements.

For subsidiaries outside the Kingdom of Saudi Arabia, provision for tax is computed in accordance with relevant tax jurisdictions.

Foreign currency translation
Transactions in foreign currencies (which are not covered by forward foreign exchange contracts) are translated into Saudi Riyals at the rates of exchange prevailing at the time of such transactions. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated at the exchange rates prevailing at that date. Gains and losses from settlement and translation of foreign currency transactions are included in the interim consolidated statement of income.

The financial statements of foreign operations are translated into Saudi Riyals using the exchange rate at each balance sheet date, for assets and liabilities, and the average exchange rates for revenues and expenses. Components of equity, other than retained earnings, are translated at the rates prevailing at the date of their occurrence. Translation adjustments, if material, are recorded as a separate component of shareholders' equity.

Employees' end of service benefits and early retirement plan
Employees' end of service benefits are provided for in accordance with the Company's policies and the requirements of the Saudi Arabian Labor Law. Employees' early retirement plan costs are provided for in accordance with the Company's policies and are charged to the interim consolidated statement of income in the year the employee retires.

Cash and cash equivalents
Cash and cash equivalents include cash, demand deposits, and highly liquid investments with original maturities of three months or less.

Research and technology expenses
Research and technology expenses are charged to the interim consolidated statement of income when incurred.

Selling, general and administrative expenses
Production costs and direct expenses are classified as cost of sales. All other expenses, including selling and distribution expenses not deducted from sales, are classified as selling, general and administrative expenses.

Dividends
Interim dividends are recorded as and when approved by the Board of Directors. Dividends are recognized as a liability at the time of their approval by the General Assembly.

Derivative financial instruments
The Company uses derivative financial instruments to hedge its exposure to certain portions of its interest rate risks arising from financing activities. The Company designates these as cash flow hedges of interest rate risk. The use of financial derivatives is governed by the Company's policies, which provide principles on the use of financial derivatives consistent with the Company's risk management strategy. The Company does not use derivative financial instruments for speculative purposes. Derivative financial instruments are initially measured at fair value on the contract date and are re-measured to fair value at subsequent reporting dates.

Changes in the fair value of derivative financial instruments that are designated as effective hedges of future cash flows are recognized directly in equity, if material and the ineffective portion is recognized immediately in the interim consolidated statement of income. If the cash flow hedge of a firm commitment or forecasted transaction results in the recognition of an asset or a liability, then, at the time the asset or liability if recognized, the associated gain or loss on the derivative that had previously been recognized is included in the initial measurement of the asset or liability. For hedges that do not result in the recognition of an asset or a liability, amounts deferred in equity are recognized in interim consolidated statement of income in the same period in which the hedged item affects net profit or loss. Changes in fair value of derivative financial instruments that do not qualify for hedge accounting are recognized in interim consolidated statement of income as they arise. Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated, or exercised, or no longer qualified for hedge accounting. At that time, for forecast transactions, any cumulative gain or loss on the hedging instrument recognized in equity is retained in equity until the forecasted transactions, any cumulative gain or loss on the hedging instrument recognized in equity is retained in equity until the forecasted transaction occurs. If a hedged transaction is no longer expected to occur, the net cumulative gain or loss recognized in equity is transferred to interim consolidated statement of income for the period.

Leasing
Leases are classified as capital leases whenever the terms of the lease transfer substantially all of the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Assets held under capital leases are recognized as assets of the Company at the lower of the present value of the minimum lease payments or the fair market value of the assets at the inception of the lease.

Finance costs, which represent the difference between the total leasing commitments and the lower of the present value of the minimum lease payments or the fair market value of the assets at the inception of the lease, are charged to the income statement over the term of the relevant lease in order to produce a constant periodic rate of charge on the remaining balance of the obligations for each accounting period.

Capitalized leased assets are depreciated over the shorter of the estimated useful life of the asset or the lease term.

Rentals payable under operating leases are charged to income on a straight line basis over the term of the operating leases.

3. CONTINGENT LIABILITIES

The Company is involved in litigation matters in the ordinary course of business, which are being defended. While the ultimate results of these matters cannot be determined with certainty, management does not expect that they will have a material adverse effect on the interim consolidated financial statements of the Company.

The Company's bankers have issued, on its behalf, bank guarantees amounting to SR 3.4 billion (SR 2.1 billion as of December 31, 2006) in the normal course of business.

4. SHARE CAPITAL

The share capital amounting to SR 25 billion is divided into 2.5 billion shares of SR 10 each as of December 31, 2007 (SR 25 billion divided into 2.5 billion shares of SR 10 as of December 31, 2006). The Extraordinary General Assembly in its meeting held on 24 Rabi Al Awal, 1427, corresponding to April 22, 2006, approved to increase the share capital by SR 5,000 million through issuing 1 bonus share for every 4 shares held.

On Dhul Hijja 20, 1428 corresponding to December 30, 2007, the Board of Directors proposed to increase the share capital from SR 25 billion (SR 2.5 billion shares of SR 10 each) to SR 30 billion (3 billion shares of SR 10 each). This increase in share capital is subject to the approval of general assembly.

5. ZAKAT

The Company has finalized and settled the zakat assessments with the DZIT for the years upto December 31, 2004. The DZIT has issued final zakat clearance certificates for the years up to December 31, 2004. The zakat assessments for the years 2005 and 2006 are under review by DZIT.

6. SEGMENT INFORMATION

The Company's operations consist of the following segments:

- **The petrochemicals segment**, includes basic chemicals, speciality products, intermediates, polymers, polyolefin and fertilizer products
- **The metals segment**, consists of steel products and investments in aluminum production facilities
- **The corporate segment**, includes the corporate operations, and research and technology centers

There are no significant inter-segment revenues.

	Petrochemicals SR 000	Metals SR 000	Corporate SR 000	Total SR 000
December 31, 2007 (Unaudited)				
Sales	**110,229,221**	**10,700,868**	**5,816,929**	**126,747,018**
Gross profit	**40,518,388**	**3,333,518**	**3,579,224**	**47,431,130**
Net income	**20,675,244**	**2,702,694**	**3,649,549**	**27,027,487**
Total assets	**176,864,990**	**17,827,898**	**61,329,722**	**256,022,610**
Total liabilities	**75,945,732**	**5,687,950**	**40,544,565**	**122,178,247**
December 31, 2006 (Audited)				
Sales	74,066,639	7,611,579	4,649,644	86,327,862
Gross profit	31,528,212	1,975,616	1,724,194	35,228,022
Net income	17,247,124	1,725,077	1,321,741	20,293,942
Total assets	106,616,223	16,205,783	43,766,814	166,588,820
Total liabilities	32,280,078	6,267,450	27,551,055	66,098,583

A substantial portion of Company's operating assets are located in the Kingdom of Saudi Arabia. The principal markets for Company's products are Europe, USA, the Middle East, and Asia Pacific. It is not practicable to summarize the sales of the petrochemicals segment by geographic areas.

7. SALES

The main reason for the increase in sales is due to the increase in prices and quantities of products sold compared to those of the comparative period.

8. APPROPRIATION OF NET INCOME

The General Assembly, in its annual meeting held on March 31, 2007, approved the appropriation of the net income for the year ended December 31, 2006 as follows:

- distribution of cash dividends of SR 10 billion (SR 4 per share) including interim cash dividends of SR 3.75 billion (SR 1.5 per share)
- transfer 10% of net income to statutory reserve
- payment of SR 1.4 million as Board of Directors' remuneration
- transfer the remaining balance of retained earnings to the general reserve

The Board of Director proposed on Dhul Hijja 20, 1428, corresponding to December 30, 2007 to distribute cash dividends amounting to SR 7.5 billion (SR 3 per share) for the year ended December 31, 2007, including interim cash dividends of SR 2.5 billion (SR 1 per share) previously approved by the Board of Directors on July 17, 2007.

9. LONG-TERM DEBT

Sukuk

On July 15 2007, SABIC issued its second Sukuk amounting to SR 8 billion, at par value of SR 10,000 each, subject to minimum holding of SR 50,000, without discount and premium, maturing on 2027. The Sukuk bears maximum rate of returns based on SIBOR plus a specified margin per annum payable quarterly in arrears from the net income received under the Sukuk assets held by the Sukuk custodian SABIC Sukuk Company, a wholly owned subsidiary of SABIC.

At the end of each five year period, SABIC shall pay an amount equal to 10% of the aggregate face value of the Sukuk as bonus to the Sukuk holders. SABIC has provided an undertaking to the Sukuk holders to purchase the Sukuk from the shareholders in the first, second and third "fifth year date" (the respective periodic distribution date following after fifth, tenth and fifteenth year of issue) at an amount equivalent to 90%, 60% and 30% of the face value respectively.

As of December 31, 2007, total value of Sukuk issued by SABIC amounted to SR 11 billion. The periodic distribution expensed during the period amounted to SR 396 million (SR 73 million as of December 31, 2006).

Debt

In connection with the acquisition of SABIC Innovative Plastics B.V., a non-recourse debt of SR 30.64 billion ($ 8.17 billion) was raised. The debt components comprise senior unsecured notes of SR 5.63 billion ($1.5 billion) at fixed coupon of 9.5% with a final maturity in 2015 and senior secured term loans of SR 25.01 billion ($6.67 billion) denominated in US dollars and Euros, with varying spreads over LIBOR or EURIBOR and maturities of up to seven years from the acquisition date.

In addition, certain other subsidiaries utilized their debt facilities for various expansion projects.

10. DERIVATIVES

The Company has interest rate swap agreements to hedge the volatility in interest rates related to loans outstanding at period end amounting to SR 32.6 billion (SR 13.6 billion as of December 31, 2006).

11. EARNINGS PER SHARE

The earnings per share are calculated based on the number of outstanding shares at the end of each period. The outstanding number of shares at December 31, 2007 and 2006 were 2.5 billion shares.

12. PURCHASING THE PLASTICS DIVISION OF GENERAL ELECTRIC

On August 31, 2007, SABIC acquired the plastics division of General Electric Corporation and renamed the global business as SABIC Innovative Plastics B.V. (SIP). SIP is a wholly owned subsidiary of SABIC Luxembourg S.a.r.l. The purchase consideration for the acquisition amounted to SR 43.5 billion ($ 11.6 billion). The acquisition was funded by a combination of debt and equity. The interim financial statements of SIP have been consolidated with the interim consolidated financial statements of SABIC Luxembourg S.a.r.l applying the purchase accounting method, whereby the purchase price is allocated to the assets and liabilities based on their fair values and the excess over the fair value of the net assets is recorded as goodwill. The Company has substantially completed the required procedures to value the assets and liabilities acquired. The fair market valuation process is expected to be completed within the 12 month period allowed under IFRS 3 on Business Combinations. The Management believes that there will not be any material adjustments upon completion of the required procedures to value the assets acquired and liabilities assumed.

13. COMPARATIVE FIGURES

Certain figures for the comparative period have been reclassified to conform with the presentation of the current period.